

but we need to eat the right lunch and not overindulge. The foundation for capturing the benefits of diversification is not mere diversification, but rather, *intelligent* asset allocation.

In today's sophisticated global financial markets, there are countless possibilities available to the creative investor. From shares in Exxon to Zimbabwean credit markets, Yak futures in Mongolia to Brazilian ore contracts, there's an asset class for any appetite. Perhaps in an ideal world, you might strive for exposure to everything (and what nest egg would be complete without exposure to the Mongolian Yak market)? From a practical standpoint, however, this is impossible. The sheer transaction costs, incremental management fees, and time spent overseeing such a portfolio would be impossible. At some point, we, as diversification enthusiasts, have to make trade-offs.

The question then becomes one related to the FACTS framework outlined earlier: Which asset classes help me achieve my risk/return goals after controlling for Fees, Access, Complexity, Taxes, and Search costs?

For insights into which assets classes may be worth considering for a portfolio, we look to the world of endowment investing and, in particular, to the Yale endowment—the gold standard for institutional investing. Yale's targeted asset classes are broadly broken down into a handful of broad categories (we include Yale's target allocations to each for fiscal 2015):^{[3](#)}

- Private equity (31%)
- Absolute return (e.g., hedge funds, 20%)
- Real estate (17%)
- Foreign equity (13%)
- Natural resources (8%)
- Domestic equity (6%)
- Bonds and cash (5%)

At first glance, this appears to be a pretty wide-ranging list of asset classes, and in scrutinizing the individual categories, it seems several might be downright unavailable for the average investor. For example, private equity,